

Data can do its job cheaper and thus increase its own profits. Or instead of investing in a company that makes automatic scanners, why not invest in the supermarkets that install the scanners? If a scanner helps a supermarket company cut costs just three percent, that alone might double the company's earnings.

(12) THE INSIDERS ARE BUYERS

There's no better tip-off to the probable success of a stock than that people in the company are putting their own money into it. In general, corporate insiders are net sellers, and they normally sell 2.3 shares to every one share that they buy. After the 1,000-point drop from August to October, 1987, it was reassuring to discover that there were four shares bought to every one share sold by insiders across the board. At least they hadn't lost their faith.

When insiders are buying like crazy, you can be certain that, at a minimum, the company will not go bankrupt in the next six months. When insiders are buying, I'd bet there aren't three companies in history that have gone bankrupt near term.

Long term, there's another important benefit. When management owns stock, then rewarding the shareholders becomes a first priority, whereas when management simply collects a paycheck, then increasing salaries becomes a first priority. Since bigger companies tend to pay bigger salaries to executives, there's a natural tendency for corporate wage-earners to expand the business at any cost, often to the detriment of shareholders. This happens less often when management is heavily invested in shares.

Although it's a nice gesture for the CEO or the corporate president with the million-dollar salary to buy a few thousand shares of the company stock, it's more significant when employees at the lower echelons add to their positions. If you see someone with a \$45,000 annual salary buying \$10,000 worth of stock, you can be sure it's a meaningful vote of confidence. That's why I'd rather find seven vice presidents buying 1,000 shares apiece than the president buying 5,000.

If the stock price drops after the insiders have bought, so that you have a chance to buy it cheaper than they did, so much the better for you.

It's simple to keep track of insider purchases. Every time an officer or a director buys or sells shares, he or she has to declare it on Form 4 and send the form to the Securities and Exchange Commission advising them of the fact. Several newsletter services, including *Vicker's Weekly Insider Report* and *The Insiders*, keep track of these filings. *Barron's*, *The Wall Street Journal*, and *Investor's Daily* also carry the information. Many local business newspapers report on insider trading on local companies—I know the *Boston Business Journal*